Haldiram takes Franchise route to add 150 stores



Particulars	The French Loaf	Wangs Kitchen
Floor placement	Ground floor properties with good frontage	
Carpet Area	350 - 500 sq.ft.in a high footfall area.	800 - 1000 sq.ft. in a high footfall area
Investment	₹20 - 25 Lakh Approximately	₹50 - 65 Lakh Approximately
Location	Chennai, Rest of Tamil Nadu, Bengaluru, Mangalore, Mysore, Hyderabad & Kolkata	

E. Disadvantages of franchising

a) ***Franchising fees:*** The initial franchising fee and the subsequent renewal fees can be very high in case of successful businesses. From the franchisee's point of view, this may be a deterrent.

b) ***Fixed royalty payment:*** The franchisee has to make payment of royalty to the franchiser on a regular basis. This considerably reduces the income of the franchisee.

c) ***Danger of image tarnishing:*** If the franchisee does not maintain standards of quality and service; there is a danger that the goodwill and image of the reputed franchiser will be adversely affected.

d) ***Lack of freedom:*** The franchisee does not have the freedom to run his business in an independent manner. He has to abide by management and operational policies of the franchiser, This may serve as a deterrent whether suitable to him or not.

e) ***Limitation on range of products:*** The franchisee cannot introduce new product lines into the business, except those permitted by franchiser. This may mean loss of business to franchisee amidst demands based on local conditions.

F. Conclusion

Franchising enables a franchisor to expand the existing business to wider geographical regions within the country and abroad. Franchisees, especially those who are new entrants to business, do not have to "start from the scratch", but work with an established business model getting the necessary operational support and guidance. In international business, franchising is the best option to enter other country markets.

Commerce 16-25.indd 155 10/12/2022 16:33:09